

Recommendation Memo

To: Marketplace growth & finance leadership **From:** Shaswat Sharma **Re:** Channel investment, segment pricing, and cross-sell targeting

Recommendation

Reallocate seller-acquisition spend toward paid_search and referral, away from social and email; introduce freight-aware pricing or fulfilment changes for electronics and remote-state orders; and stand up the cross-sell propensity model as a targeting layer for the 16 products where it clears AUC 0.85 out-of-time.

Why

1. Channel reallocation. Ranked on the disclosed metrics (win rate x activation rate x GMV per lead - no assumed spend figure), paid_search (score 0.71) and organic_search (0.63) outperform social (0.38) and email (0.28) by a wide margin, and referral, while low-volume (284 leads), converts at the highest per-seller value (median R\$1,368 activated GMV). Since spend by channel isn't disclosed, this is a reallocation-direction call, not a "move R\$X" call - see docs/seller_cac_methodology.md for exactly why.

2. Activation, not just winning, needs its own funnel stage. 55.0% of won sellers never sell anything. A "won -> activated" nudge program (onboarding support, first-listing incentives) targeting this specific gap has a larger addressable upside than further top-of-funnel spend, because it converts sellers already paid for.

3. Freight-aware category and geography strategy. Electronics and remote-state orders are structurally low-margin because of freight, not price - a fixable operational problem (regional fulfilment, category-specific shipping subsidy caps, or minimum-order-value thresholds for the worst combinations) rather than a demand problem.

4. Deploy the propensity model on the 16 products it actually supports. Junior Account, Funds, Mas Particular Account, Particular Plus Account, Payroll, and Pensions all clear AUC 0.90+ out-of-time - strong enough for a live ranked cross-sell list today. The 8 excluded products (too few positive examples to score meaningfully) should get a simple rules-based fallback, not a forced model.

What Would Change This Recommendation

- If Olist's actual channel spend were disclosed and paid_search turned out to cost materially more per lead than its value-score advantage implies, the reallocation case would need re-testing against actual CAC, not the value-score proxy used here.
- If the "unknown" origin channel (currently the single highest scorer) were disaggregated into named channels, some of paid_search's relative advantage could shift - it is reported separately and excluded from the headline ranking for exactly this reason.